FREE FINANCING REPORT

RV Park Financing Report

Why This Category Is More Financeable Than Perceived, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

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PAGE 1

Why RV Park Financing Requires a Different Approach

RV parks and RV resorts sit at the intersection of commercial real estate and hospitality operations, and 2026 data tells a more encouraging story than most borrowers expect. That combination — historically strong credit performance, a dedicated SBA pathway with a newly expanded loan cap, and a genuine bank/CMBS/bridge lending ecosystem — is exactly why RV park financing remains accessible for well-prepared operators, even as pricing has repriced sharply higher.

- **Credit performance is far stronger than the category's reputation suggests.** RV parks have charged off at just 0.91% of disbursed SBA 7(a) loans, compared to 4.66% for the entire SBA loan book — a risk profile statistically indistinguishable from hotels and motels.
- **A dedicated SBA financing pathway now supports larger transactions.** The combined SBA 7(a)/504 loan cap was raised to $10 million effective July 4, 2026, the highest cap in the program's history, with SBA 504 offering a fixed debenture rate near 6.2%.
- **Bank financing remains genuinely available for stabilized parks.** Community and regional banks currently finance RV parks at 65% to 75% LTV over 20 to 25 year terms, a meaningfully deeper leverage window than many specialized asset classes receive.
- **Long-term stays are growing to record levels.** Stays of 28 nights or longer grew 19.1% to an all-time record in 2025, reinforcing the more stable, annual-lease side of the revenue mix that lenders favor.
- **SBA-supported capital has flowed steadily to the sector.** Roughly $1.44 billion in SBA-backed financing has reached RV parks since FY2010, evidence of a sustained, active lending channel rather than a one-off trend.

That said, this remains a specialized underwriting discipline. Financing costs have repriced sharply — the median SBA note rate to this sector rose from 5.25% in FY2021 to 9.87% in FY2024, a 462-basis-point increase in three years — and with Class A/B RV parks trading around an 8.0% going-in cap rate against loan constants now running 8.68% to 10.68%, debt yield and coverage tests, not simple loan-to-value, are the binding constraint on many transactions today.

PAGE 2

2026 Market Outlook for RV Park Financing

RV park financing enters 2026 as a genuinely active but repriced lending environment, where program selection and revenue mix matter as much as the real estate itself. The following figures outline where the market stands:

- Financing costs vary widely by lender type: community and regional banks currently price RV park loans at 6.5% to 8.0% with 65% to 75% LTV over 20 to 25 year terms, while SBA 7(a) can fund up to roughly 90% of cost at Prime plus up to 3 points (capped near 9.75%), and SBA 504 offers a fixed debenture near 6.2%.

  Source: MMCG Invest, US RV Park and Campground Market Outlook 2026

- The rate environment has repriced sharply over the past three years: the median SBA note rate to the RV park sector rose from 5.25% in FY2021 to 9.87% in FY2024 — a 462-basis-point increase — pushing effective bank loan constants to a range of roughly 8.68% to 10.68% depending on program.

  Source: MMCG Invest, 2026

- Cap rates sit below current loan constants, creating day-one coverage pressure: Class A and B RV parks trade around an 8.0% going-in cap rate (Class C near 9.0%), meaning debt yield and coverage tests — not loan-to-value — are now the binding underwriting constraint on many institutional-quality deals.

  Source: MMCG Invest, 2026

- CMBS and bridge financing remain available but at different terms: CMBS loans generally cap out around 55% to 65% LTV with an 11% debt yield test, while bridge financing for value-add or transitional parks runs 9% to 13.5%.

  Source: MMCG Invest, 2026

- SBA lending capacity to the sector just expanded: the combined SBA 7(a)/504 loan cap rose to $10 million effective July 4, 2026, the highest cap in program history, building on roughly $1.44 billion in SBA-supported capital directed to RV parks since FY2010.

  Source: MMCG Invest, 2026

- Occupancy and stay-length trends point toward a maturing, more stable demand base: national annual occupancy is projected at 65% to 67% with sharp seasonality (85% to 100% at peak summer versus 15% to 30% in cold-region winters), while stays of 28 nights or longer grew 19.1% to an all-time record even as total reservations dipped 1.0% industry-wide in 2025.

  Source: RoverPass, 2026 RV Park Industry Stats

Bottom line for 2026: RV park financing is more available and lower-risk than its reputation suggests — SBA credit performance rivals hotels, bank leverage remains genuinely deep at 65% to 75% LTV, and the SBA loan cap increase opens the door to larger transactions. But financing costs have repriced significantly since 2021, and with cap rates now running below typical loan constants, coverage and debt yield — not just

PAGE 3

Critical Financing Metrics for RV Parks

Lenders in this space underwrite the operating business as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Occupancy Rate and Seasonal Stability**
   Trailing occupancy history and how it moves across peak, shoulder, and off-season periods, since RV parks carry meaningfully more seasonal swing than most commercial real estate. **65%–67% national annual occupancy**

2. **Transient vs. Extended-Stay Revenue Mix**
   The balance between short-term transient guests and 28+ night extended-stay tenants, which drives both revenue stability and SBA program eligibility.

3. **Site Infrastructure and Hookup Quality**
   Condition of utilities, roads, pads, and full-hookup availability, since aging or inadequate infrastructure is one of the fastest ways to lose lender confidence on this asset type.

4. **Operator Experience in RV Parks or Hospitality**
   Documented management track record, given the operational intensity of running a seasonal, guest-facing recreational property.

5. **Operating Expense Ratio**
   Total operating expenses as a share of revenue, which varies significantly by tenure mix — transient-heavy operations run meaningfully higher than annual-heavy models.
   ~53.7% of revenue (industry benchmark)

6. **SBA Eligibility ("50% Rule")**
   For SBA financing specifically, more than half of gross annual income must come from stays of 30 days or less; parks exceeding roughly 49.9% monthly or seasonal revenue become ineligible for SBA programs.

7. **Loan-to-Value and Debt Yield**
   Leverage and coverage tests available through bank, SBA, and CMBS channels, and increasingly the factor that determines final loan sizing given current cap rate and rate dynamics. **65%–75% LTV (bank); 55%–65% LTV / 11% debt yield (CMBS)**

These metrics form the practical filter that separates RV park financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Trailing 12-month operating statements are organized
- [ ] Occupancy and revenue history (by site type and stay length) is documented
- [ ] Site count, hookup types, amenities, and infrastructure condition details are prepared
- [ ] Operator experience in RV parks or hospitality is clearly presented
- [ ] Market and competitive context (nearby attractions, travel corridors) is gathered
- [ ] Existing debt schedule is current
- [ ] Entity documents and organizational structure are current
- [ ] Personal financial statements and credit information for owners/guarantors are up to date

Common Reasons RV Park Financing Requests Underperform or Get Declined

- Missing or incomplete occupancy and revenue history
- Weak or outdated infrastructure documentation
- Insufficient operator experience in RV parks or hospitality management
- A revenue mix that fails SBA's 50% transient-stay eligibility rule when SBA financing is the intended path
- Incomplete financial or organizational documentation

Final Perspective

RV park financing in 2026 is a more available, better-performing category than most borrowers assume — credit performance rivals hotels and motels, bank leverage remains genuinely deep, and an expanded SBA loan cap now supports larger transactions. But the rate environment has repriced sharply since 2021, and with cap rates now sitting below typical loan constants, the deals that finance most smoothly are the ones where the operator has proactively documented occupancy stability, infrastructure condition, and a revenue mix that fits the intended financing program.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing occupancy history, weak infrastructure documentation, and a revenue mix that doesn't match the intended loan program are among the most common reasons otherwise solid RV park financing requests lose time, money, and momentum.

YOUR NEXT STEP

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